

Exercise 1-6 Transaction analysis (L.O. 5)

Indicate the effects of the following business transactions on the accounting equation. Transaction *a* is answered as a guide.

- a. Invested cash of \$1,800 in the business.
Answer: Increase asset (Cash)
Increase owner's equity (Capital)
- b. Performed legal service for a client on account, \$650.
- c. Purchased on account office furniture at a cost of \$500.
- d. Received cash on account, \$400.
- e. Paid cash on account, \$250.
- f. Sold land for \$12,000, which was our cost of the land.
- g. Paid \$90 cash to purchase office supplies.
- h. Performed legal service for a client and received cash of \$2,000.
- i. Paid monthly office rent of \$700.

Exercise 1-7 Transaction analysis; accounting equation (L.O. 3, 5)

Allison LaChappelle opens a medical practice to specialize in child care. During her first month of operation, January, her practice, entitled Allison LaChappelle, M.D., experienced the following events:

- Jan. 6 LaChappelle invested \$120,000 in the business by opening a bank account in the name of Allison LaChappelle, M.D.
- 9 LaChappelle paid cash for land costing \$90,000. She plans to build an office building on the land.
- 12 She purchased medical supplies for \$2,500 on account.
- 15 On January 15, LaChappelle officially opened for business.
- 15-31 During the rest of the month she treated patients and earned service revenue of \$6,000, receiving cash.
- 15-31 She paid cash expenses: employee salaries, \$1,400; office rent, \$1,000; utilities, \$300.
- 28 She sold supplies to another physician for cost of \$500.
- 31 She paid \$1,500 on account.

Required

Analyze the effects of these events on the accounting equation of the medical practice of Allison LaChappelle, M.D. Use a format similar to that of Exhibit 1-5 in the chapter, with headings for Cash; Medical Supplies; Land; Accounts Payable; and Allison LaChappelle, Capital.

Problem 1-5A Transaction analysis for an actual company (L.O. 4,5)

A balance sheet of Xerox Corporation, the manufacturer of copiers and other office equipment, is summarized as follows, with amounts in thousands. For example, Cash of \$266,600,000 is presented as \$266,600.

Xerox Corporation Balance Sheet December 31, 19X4 (thousands)			
Assets		Liabilities	
Cash	\$ 266,600	Notes payable	\$1,985,500
Accounts receivable ...	1,466,900	Accounts payable	390,300
Merchandise inventories	1,469,800	Other liabilities	2,107,600
Land, buildings, and equipment	2,659,700	Total liabilities	4,483,400
Other assets	3,953,700	Owner Equity	
		Owner equity	5,333,300
Total assets	<u>\$9,816,700</u>	Total liabilities and owner equity ...	<u>\$9,816,700</u>

Suppose the company had the following transactions and events (amounts in thousands) during January:

- Received cash investment from owners, \$160.
- Purchased inventories on account, \$400.
- Paid cash on account (to reduce accounts payable), \$136.
- Sold equipment to another company on account, \$670. The equipment had cost \$670.
- Learned that a national television news program would show members of Congress using Xerox copy machines as part of a Senate investigation. The value of this advertisement to the company is estimated to be \$1,000.
- Borrowed cash, signing a note payable, \$550.
- Purchased equipment for cash, \$380.
- Collected cash on account from customers, \$289.
- Received special equipment from an owner as an investment in the company. The value of the equipment was \$119.

Required

- Showing all amounts in thousands, analyze the January 19X5 transactions of Xerox. Use a format similar to Exhibit 1-5.
- Prove that assets = liabilities + owner equity after analyzing the transactions.

Problem 1-8A

Transaction analysis, accounting equation, financial statements
(L.O. 5,6)

Kathy Starr owns and operates an interior design studio called Starr Designers. The following amounts summarize the financial position of her business on April 30, 19X5:



Assets				=	Liabilities	+	Owner's Equity
Cash	+ Accounts Receivable	+ Supplies	+ Land	=	Accounts Payable	+	Kathy Starr, Capital
Bal. 720	2,240		23,100	=	4,400		21,660

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During May 19X5 the following events occurred:

- Starr received \$12,000 as a gift and deposited the cash in the business bank account.
- Paid off the beginning balance of accounts payable.
- Performed services for a client and received cash of \$1,100.
- Collected cash from a customer on account, \$750.
- Purchased supplies on account, \$120.
- Consulted on the interior design of a major office building and billed the client for services rendered, \$5,000.
- Invested personal cash of \$1,700 in the business.
- Recorded the following business expenses for the month:
 - Paid office rent—\$1,200
 - Paid advertising—\$860.
- Sold supplies to another interior designer for \$80 cash, which was the cost of the supplies.
- Withdrew cash of \$2,400 for personal use.

Required

- Analyze the effects of the above transactions on the accounting equation of Starr Designers. Adapt the format of Exhibit 1-5.
- Prepare the income statement of Starr Designers for the month ended May 31, 19X5. List expenses in decreasing order by amount.
- Prepare the statement of owner's equity of Starr Designers for the month ended May 31, 19X5.
- Prepare the balance sheet of Starr Designers at May 31.

Melvin Dexter practiced law with a large firm, a partnership, for five years after graduating from law school. Recently he resigned his position to open his own law office, which he operates as a proprietorship. The name of the new entity is Melvin Dexter, Attorney.

Dexter recorded the following events during the organizing phase of his new business and its first month of operations. Some of the events were personal and did not affect his law practice. Others were business transactions and should be accounted for by the business.

- May 4 Dexter received \$50,000 cash from his former partners in the law firm from which he resigned.
- 5 Dexter deposited \$50,000 cash in a new business bank account entitled Melvin Dexter, Attorney.
- 6 Dexter paid \$300 cash for letterhead stationery for his new law office.
- 7 Dexter purchased office furniture for his law office. He agreed to pay the account payable, \$5,000, within six months.
- 10 Dexter sold 500 shares of IBM stock, which he and his wife had owned for several years, receiving \$75,000 cash from his stockbroker.
- 11 Dexter deposited the \$75,000 cash from sale of the IBM stock in his personal bank account.
- 12 A representative of a large company telephoned Dexter and told him of the company's intention to transfer its legal business to the new entity of Melvin Dexter, Attorney.
- 29 Dexter finished court hearings on behalf of a client and submitted his bill for legal services, \$4,000. Dexter expected to collect from this client within two weeks.
- 30 Dexter paid office rent expense, \$1,000.
- 31 Dexter withdrew \$2,000 cash from the business for personal living expenses.

Required

1. Classify each of the preceding events as one of the following:
 - a. Business transaction to be accounted for by the proprietorship of Melvin Dexter, Attorney.
 - b. Business-related event but not a transaction to be accounted for by the proprietorship of Melvin Dexter, Attorney.
 - c. Personal transaction not to be accounted for by the proprietorship of Melvin Dexter, Attorney.
2. Analyze the effects of the above events on the accounting equation of the proprietorship of Melvin Dexter, Attorney. Use a format similar to Exhibit 1-5.

reported on the balance sheet of the business.

Problem 1-5B Transaction analysis for an actual company (L.O. 4,5)

A balance sheet of Levi Strauss & Company, the world's largest seller of jeans and casual pants, is summarized as follows, with amounts in thousands. For example, Cash of \$263,389,000 is presented as \$263,389.



Levi Strauss & Company
Balance Sheet
November 25, 1982
(thousands)

Assets		Liabilities	
Cash	\$ 263,389	Notes payable	\$ 83,361
Accounts receivable ...	339,798	Accounts payable	229,453
Merchandise inventories	387,660	Other liabilities	300,847
Property, plant, and equipment	330,455	Total liabilities	613,661
Other assets	99,800	Owner Equity	
		Owner equity	807,441
Total assets	<u>\$1,421,102</u>	Total liabilities and owner equity ...	<u>\$1,421,102</u>

Suppose that the company had the following transactions and events (amounts in thousands) during December:

- Received cash investments from owners, \$18.
- Received special equipment from an owner as an investment in the company. The value of the equipment was \$90.
- Borrowed cash, signing a note payable, \$100.
- Purchased equipment for cash, \$125.
- Purchased inventories on account, \$90.
- Paid cash on account (to reduce accounts payable), \$54.
- Sold equipment to another company on account, \$14. The equipment had cost \$14.
- Discovered that the president of the United States was going to wear Levi blue jeans while giving his State of the Union address next January.
- Collected cash on account from customers, \$84.

Required:

- Showing all amounts in thousands, analyze the December transactions of Levi Strauss. Use a format similar to Exhibit 1-5.
- Prove that assets = liabilities + owner equity after analyzing the transactions.

Exercise 2-3 Journalizing transactions (L.O. 3)

Vines Consulting Service engaged in the following transactions during March 19X3, its first month of operations:

- Mar. 1 John Vines invested \$65,000 of cash to start the business.
- 2 He purchased office supplies of \$200 on account.
- 4 He paid \$25,000 cash for land to use as a future building site.
- 6 He performed service for customers and received cash, \$2,000.
- 9 He paid \$100 on accounts payable.
- 17 He performed service for customers on account, \$1,600.
- 23 He received \$1,200 cash from a customer on account.
- 31 He paid the following expenses: salary, \$1,200; rent, \$500.

Required

Record the preceding transactions in the journal of Vines Consulting Service. Key transactions by date and include an explanation for each entry, as illustrated in the chapter. Use the following accounts: Cash; Accounts Receivable; Office Supplies; Land; Accounts Payable; John Vines, Capital; Service Revenue; Salary Expense; Rent Expense.

Exercise 2-10 *Recording transactions without a journal (L.O. 6)*

Open the following T-accounts: Cash; Accounts Receivable; Office Supplies; Office Furniture; Accounts Payable; Albert Peña, Capital; Albert Peña, Withdrawals; Service Revenue; Salary Expense; Rent Expense.

Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.

- a. Albert Peña opened an accounting firm by investing \$8,800 cash and office furniture valued at \$7,400.
- b. Paid monthly rent of \$1,500.
- c. Purchased office supplies on account, \$800.
- d. Paid employee salary, \$1,800.
- e. Paid \$400 of the account payable created in c.
- f. Performed accounting service on account, \$1,700.
- g. Withdrew \$2,000 for personal use.

Problem 2-2A *Analyzing and journalizing transactions (L.O. 2,3)*

Lee Quinius practices medicine under the business title Lee Quinius, M.D. During April his medical practice engaged in the following transactions:

- Apr. 1 Quinius deposited \$75,000 cash in the business bank account.
- 5 Paid monthly rent on medical equipment, \$700.
- 9 Paid \$42,000 cash to purchase land for an office site.
- 10 Purchased supplies on account, \$1,200.
- 19 Paid \$1,000 on account.
- 30 Revenues earned during the month included \$6,000 cash and \$5,000 on account.
- 30 Paid employee salaries (\$2,400), office rent (\$1,500), and utilities (\$400).
- 30 Borrowed \$20,000 from the bank for business use. Quinius signed a note payable to the bank in the name of the business.
- 30 Withdrew \$4,000 from the business to take his family on a trip.

Quinius's business uses the following accounts: Cash; Accounts Receivable; Supplies; Land; Accounts Payable; Notes Payable; Lee Quinius, Capital; Lee Quinius, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Utilities Expense.

Required

1. Prepare an analysis of each business transaction of Lee Quinius, M.D., as shown for the April 1 transaction:

Apr. 1 The asset Cash is increased. Increases in assets are recorded by debits; therefore, debit Cash.

The owner's equity is increased. Increases in owner's equity are recorded by credits; therefore, credit Lee Quinius, Capital.

2. Prepare the journal entry for each transaction. Explanations are not required.

Problem 2-3A Journalizing transactions, posting to T-accounts, and preparing a trial balance (L.O. 2,3,4,5)

Marie Haley opened a law office on January 2 of the current year. During the first month of operations the business completed the following transactions:

- Jan. 2 Haley deposited \$40,000 cash in a business bank account entitled Marie Haley, Attorney.
- 3 Purchased supplies, \$500, and furniture, \$2,600, on account.
- 4 Performed legal services for a client and received cash, \$1,500.
- 7 Paid cash to acquire land for a future office site, \$22,000.
- 11 Defended a client in court, billed the client, and received his promise to pay the \$800 within one week.
- 15 Paid secretary salary, \$650.
- 16 Paid for the furniture purchased January 3 on account.
- 17 Paid the telephone bill, \$110.
- 18 Received partial payment from client on account, \$400.
- 19 Prepared legal documents for a client on account, \$600.
- 22 Paid the water and electricity bills, \$130.
- 29 Received \$1,800 cash for helping a client sell real estate.
- 31 Paid secretary salary, \$650.
- 31 Paid rent expense, \$700.
- 31 Withdrew \$2,200 for personal use.

Required

Open the following T-accounts: Cash; Accounts Receivable; Supplies; Furniture; Land; Accounts Payable; Marie Haley, Capital; Marie Haley, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Utilities Expense.

1. Record each transaction in the journal, using the account titles given. Key each transaction by date. Explanations are not required.
2. Post the transactions to the ledger, using transaction dates as posting references in the ledger. Label the balance of each account *Bal.*, as shown in the chapter.
3. Prepare the trial balance of Marie Haley, Attorney, at January 31 of the current year.



Problem 2-7A Recording transactions directly in the ledger, preparing a trial balance
(L.O. 2,5,6)

Ken Mazanec started a cable television service and during the first month of operations completed the following selected transactions:

- a. Mazanec began the business with an investment of \$30,000 cash and a building valued at \$50,000.
- b. Borrowed \$25,000 from the bank; signed a note payable.
- c. Paid \$32,000 for transmitting equipment.
- d. Purchased office supplies on account, \$400.
- e. Paid employee salary, \$1,300.
- f. Received \$500 for cable TV service performed for customers.
- g. Sold cable service to customers on account, \$2,300.
- h. Paid \$100 of the account payable created in *d*.
- i. Received a \$600 bill for utility expense that will be paid in the near future.
- j. Received cash on account, \$1,100.
- k. Paid the following cash expenses:
 - (1) Rent on land, \$1,000
 - (2) Advertising, \$800.
- l. Withdrew \$2,600 for personal use.

Required

1. Open the following T-accounts: Cash; Accounts Receivable; Office Supplies; Transmitting Equipment; Building; Accounts Payable; Note Payable; Ken Mazanec, Capital; Ken Mazanec, Withdrawals; Service Revenue; Salary Expense; Rent Expense; Advertising Expense; Utilities Expense.
2. Record the following transactions directly in the T-accounts without using a journal. Use the letters to identify the transactions.
3. Prepare the trial balance of Mazanec Cable TV Service at January 31, 19X7.

Problem 2-5A *Journalizing, posting to T-accounts, and preparing a trial balance*
(L.O. 2,3,4,5)

Steakley Delivery Service began operations during May of the current year. During a short period thereafter, the entity engaged in the following transactions:

- a. Lou Steakley, the owner, deposited \$3,500 cash in a bank account entitled Steakley Delivery Service and also invested in the business a delivery truck valued at \$8,000.
- b. Purchased \$40 fuel for the delivery truck, using a business credit card.
- c. Paid \$100 cash for supplies.
- d. Completed a delivery job and received cash, \$700.



- e. Performed delivery services on account, \$3,200.
- f. Purchased advertising leaflets for cash, \$200.
- g. Paid the office manager salary, \$950.
- h. Received \$1,000 cash for performing delivery services.
- i. Received cash from customer on account, \$1,800.
- j. Purchased used office furniture on account, \$600.
- k. Paid office utility bills, \$120.
- l. Purchased \$70 fuel on account for the truck.
- m. Completed a delivery job and received the customer's promise to pay the amount due, \$100, within ten days.
- n. Paid cash to creditor on account, \$200.
- o. Paid \$250 for repairs to the delivery truck.
- p. Paid office manager the salary of \$950 and office rent of \$250.
- q. Withdrew \$1,900 for personal use.

Required

1. Record each transaction in the journal, using the account titles given. Key each transaction by letter. Explanations are not required.
 2. Open the following T-accounts: Cash; Accounts Receivable; Supplies; Delivery Truck; Office Furniture; Accounts Payable; Lou Steakley, Capital; Lou Steakley, Withdrawals; Delivery Service Revenue; Salary Expense; Rent Expense; Repair Expense; Advertising Expense; Utilities Expense; Fuel Expense. Post the transactions to the ledger, keying transactions by letter. Label the balance of each account *Bal.*, as shown in the chapter.
 3. Prepare the trial balance of Steakley Delivery Service, using the current date.
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